

intestate: Dying without a will that specifies who should receive the property and personal belongings of the deceased.

IRA: Individual retirement account; a retirement account that anyone who has earned income can contribute to. Amounts contributed to traditional IRAs are usually tax-deferred. Amounts contributed to Roth IRAs are not deductible but taxes are not due on the earnings at retirement.

joint tenancy with right of survivorship: Shared ownership of property by two or more people, giving the surviving owner(s) rights to a deceased owner's share. See also tenancy in common.

liability: An amount owed to creditors or others. Common liabilities include mortgage, car payments, student loans, and credit card debt.

lien: A legal claim against an asset, usually used to secure a loan.

lifestyle fund: A diversified mutual fund that adjusts itself to slowly reduce risk over time.

living will: A legal document used to specify what, if any, life-prolonging measures a person wants if he or she becomes terminally ill or incapacitated.

load: A sales charge or commission paid to a broker or other third party when mutual funds are bought or sold. Front-end loads are sometimes incurred when an investor purchases the shares and back-end loads are sometimes incurred when investors sell the shares.

marriage tax penalty: A feature of the U.S. tax system that results in married couples paying more in taxes than they would if they were single.

mutual fund: An investment that allows thousands of investors to pool their money to purchase stocks, bonds, or other types of investments, depending on the objectives of the fund.

negative amortization: The process of a loan balance growing over time, as opposed to having principal and interest payments reduce the loan.